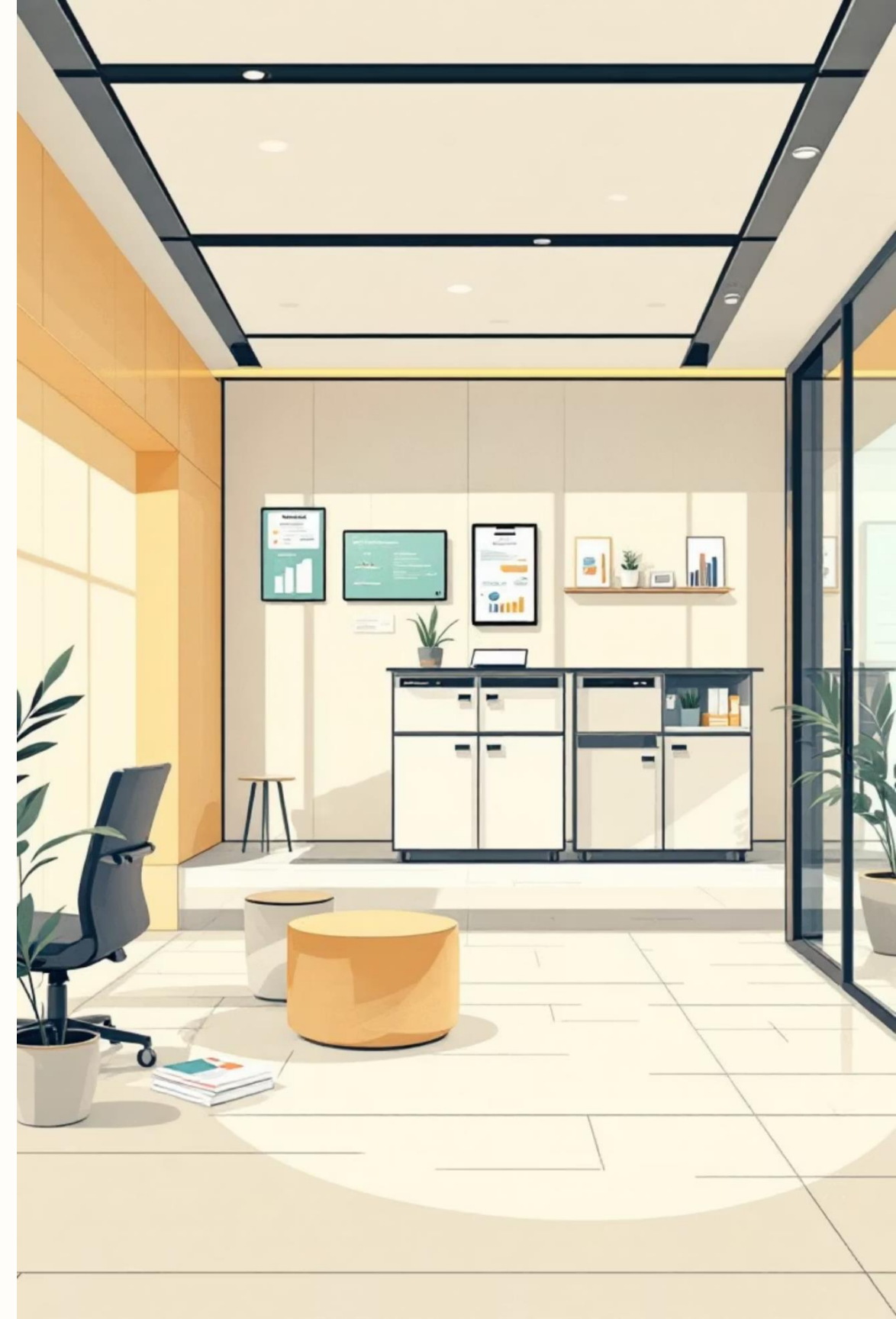


Opportunities for Incumbent Insurers in the Insurance Industry

The insurance industry is experiencing unprecedented transformation driven by digital innovation, evolving customer expectations, and emerging risks. For incumbent insurers, 2025 and beyond presents a unique window of opportunity to leverage established market positions whilst embracing innovation.





The Market Landscape

Traditional Strengths

Incumbent carriers possess significant advantages including extensive customer data, regulatory expertise, capital reserves, and trusted brand recognition that can be combined with new technologies to capture emerging markets.

Market Scale

The commercial insurance market alone is projected to exceed \$4 trillion in global deal volumes, with insurers increasingly focusing on digital transformation, specialized coverage, and strategic partnerships to differentiate themselves.

Delivering on AI's Promise

Artificial intelligence represents one of the most significant opportunities for incumbent insurers to enhance efficiency and improve underwriting decisions. By 2025, over 80% of insurers leverage AI to power personalisation across underwriting, pricing, claims, and customer service.



Automated Underwriting

Reducing decision time by over 110% compared to traditional methods



Claims Processing

Improving accuracy by 35% or more through AI-driven systems



Predictive Analytics

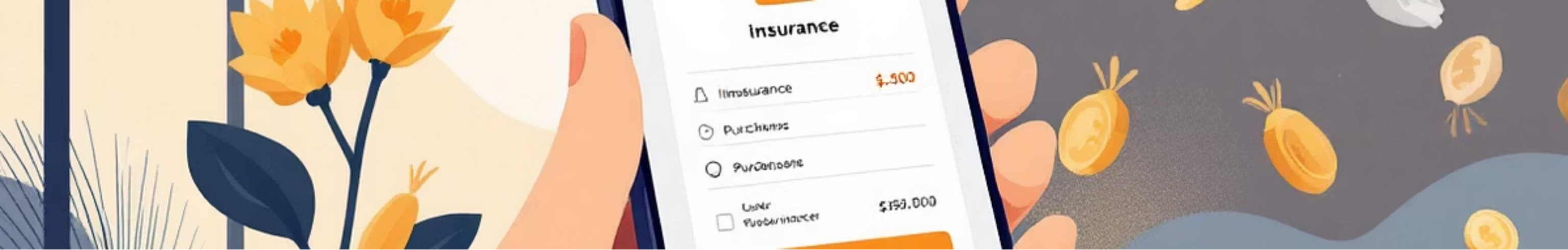
Analysing millions of data points for pricing optimisation



24/7 Support

Chatbots providing customer service with sentiment analysis

Insurers implementing AI-driven platforms can reduce compliance costs by 30-40% whilst enhancing operational efficiency across all business functions.



Embedded Insurance Revolution

Embedded insurance represents a paradigm shift in distribution, with the global market projected to generate **\$700 billion in premiums by 2030**, up from \$70 billion in 2020. Europe alone is forecast to grow from €10.9 billion in 2025 to €49.4 billion by 2030, representing a 35% compound annual growth rate.



Banks & E-Commerce

Embedding coverage at checkout through existing platforms



Lower Acquisition Costs

Reduced customer acquisition through partner platforms



Enhanced Retention

Adding value to existing services and relationships

By 2028, more than 30% of all insurance transactions will likely occur through embedded channels, creating unprecedented distribution opportunities.

Usage-Based and Parametric Insurance

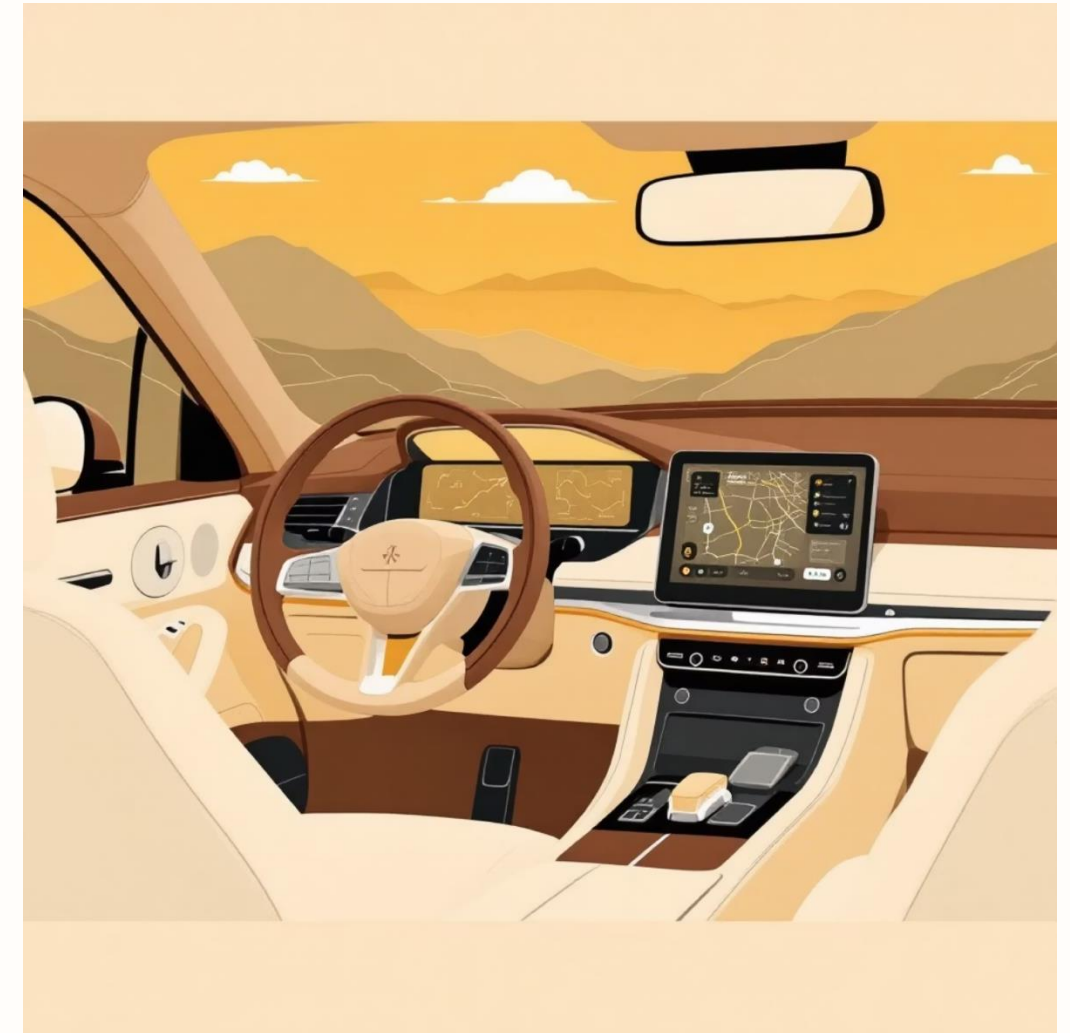
Usage-based insurance (UBI) powered by telematics technology allows insurers to price policies based on actual behaviour rather than demographic assumptions. Global insurance telematics subscriptions reached 107 million and continue growing rapidly.

Pay-How-You-Drive Models

- Monitoring speed, acceleration, braking patterns, and distance
- Immediate premium adjustments reflecting reduced risk
- Personalised pricing based on individual driving behaviour

Parametric Insurance Benefits

- Rapid payouts upon occurrence of pre-determined event parameters
- Natural catastrophe and agricultural coverage with automated triggers
- Quick claims payment in weeks rather than months





Climate Risk and Cyber Insurance Growth

\$800B

Climate Technology Investment

Annual global capital expenditures by 2030, corresponding to \$10–15 billion in insurance premiums

Renewable Energy Assets

Coverage for solar, wind, EV batteries, and charging infrastructure

\$32.19B

Cyber Insurance Market

Expected market size by 2030, representing a 14.2% CAGR

Green Building Coverage

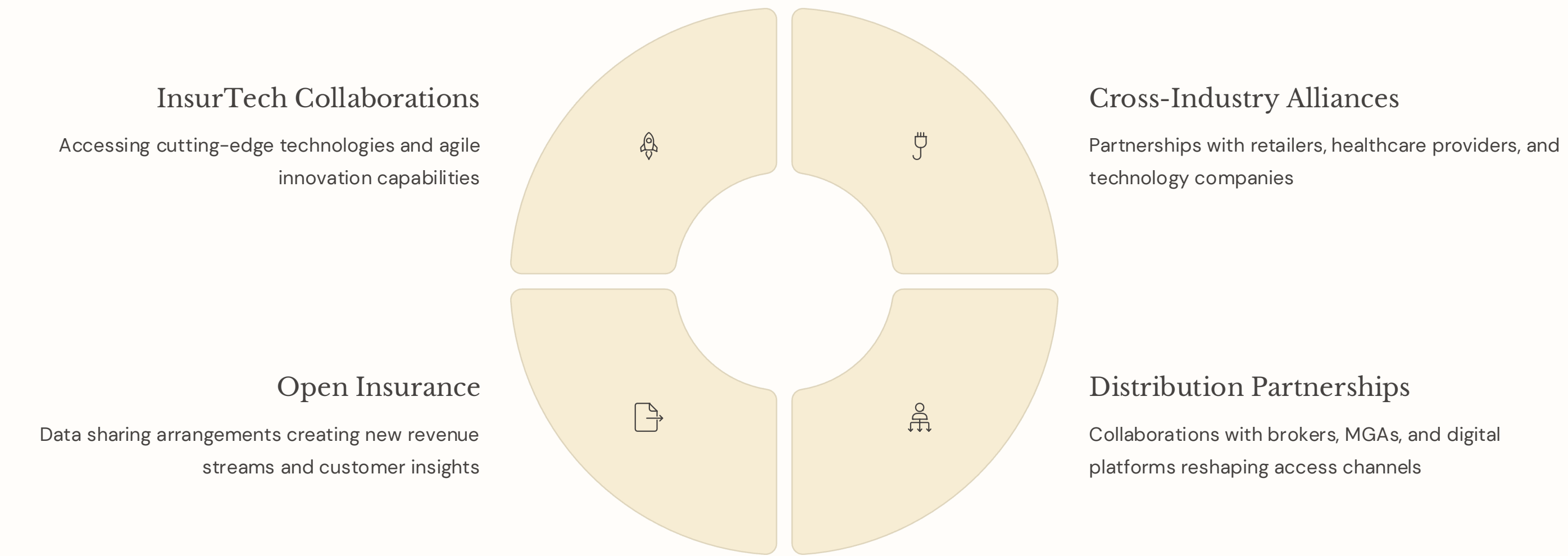
Climate adaptation services and sustainable construction insurance

Cyber Coverage for SMEs

AI-driven cyber risk analytics improving underwriting accuracy for underinsured businesses

Ecosystem Partnerships and Strategic Collaborations

Insurers entering strategic ecosystems—digital networks of partners providing complementary goods and services—meaningfully improve top-line growth and client retention. These partnerships expand market reach, increase revenue, and enhance customer engagement throughout the insurance lifecycle.



Swiss Re's iptiQ platform partners with over 50 organisations globally including IKEA and ImmoScout24, demonstrating the power of ecosystem collaboration.

Health and Wellness Digital Programmes

Digital health insurance integrated with wellness programmes represents a major growth opportunity, with predictions of up to 1 trillion connected devices by 2025. These programmes emphasise preventive healthcare whilst improving customer engagement and reducing long-term claims costs.

01

Assess Health Risks

Comprehensive health evaluations through digital platforms and wearable devices

02

Create Personalised Plans

Tailored wellness programmes based on individual health profiles and goals

03

Track Actions

Monitor fitness, nutrition, and health metrics through connected data feeds

04

Reward Healthy Behaviours

Premium discounts for members demonstrating positive health outcomes



Data Analytics, Automation, and RegTech

Advanced data analytics, robotic process automation (RPA), and regulatory technology transform insurance operations. Sixty-seven percent of insurers increased spending on data analytics, with companies implementing RegTech solutions reporting 30–40% cost reductions in compliance operations.

Risk Assessment

Analysing hundreds of metrics automatically in underwriting and fraud detection

RPA Efficiency

Processing policy renewals, claims data entry, and customer communications automatically

Blockchain Compliance

Real-time monitoring with transparent and immutable transaction records

The Path Forward

Incumbent insurers stand at a pivotal moment where traditional strengths can be amplified through strategic innovation. The opportunities—from embedded insurance and parametric solutions to AI-driven operations and ecosystem partnerships—represent pathways to sustainable competitive advantage.

Bold Decision-Making

Embrace digital transformation and innovative business models

Strategic Partnerships

Leverage InsurTech capabilities and cross-industry collaborations

Customer-Centric Approaches

76% of customers expect personalised interactions and seamless experiences

Data-Driven Operations

Utilise AI, analytics, and automation for operational excellence

The protection gap remains substantial, technology is increasingly accessible, and consumer demand for innovative insurance solutions continues rising. The time to act is now.

